IN THE NATIONAL COMPANY LAW TRIBUNAL, NEW DELHI
COURT-V

Item No.-209

CP (CAA) No. - 84/230/232/ND/2022

IN THE MATTER OF:

Abhisar Buildwell Pvt. Ltd. And Dharampal Satyapal Ltd. **....Applicant**

SECTION

U/s 230-232 **Order delivered on 29.08.2023**

CORAM:

SHRI P.S.N PRASAD,
HON'BLE MEMBER (JUDICIAL)

DR. BINOD KUMAR SINHA,
HON'BLE MEMBER (TECHNICAL)

PRESENT:

For the Applicant :
For the Respondent :

ORDER

Order pronounced in open Court vide separate sheets. CP (CAA) No. - 84/230/232/ND/2022 (2nd motion) is **allowed.**

Sd/- **Sd/-**
(DR. BINOD KUMAR SINHA) **(P.S.N PRASAD)**
MEMBER (T) **MEMBER (J)**

IN THE NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI
BENCH – V

COMPANY PETITION (CAA) NO. – 84/(ND)/2022
WITH
COMPANY APPLICATION NO. CA(CAA) 28/(ND)/2022

Under Section 230-232 and other applicable provisions of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016)

IN THE MATTER OF THE COMPANIES ACT, 2013

AND

IN THE MATTER OF SCHEME OF AMALGAMATION OF:

ABHISAR BUILDWELL PRIVATE LIMITED

...PETITIONER NO.1/TRANSFEROR COMPANY

AND

DHARAMPAL SATYAPAL LIMITED

...PETITIONER NO.2/ TRANSFEREE COMPANY

Order Delivered On: 29.08.2023

CORAM:

SHRI P.S.N. PRASAD, HON'BLE MEMBER (JUDICIAL)
DR. BINOD KUMAR SINHA, HON'BLE MEMBER (TECHNICAL)

PRESENT:

For the Applicant : Mr. Kaustubh Prakash, Mr. Saheb Singh Chadha, Ms. Hita Sharma, Advs.

For the Respondent :

For the IT Department :

For the RD : Ms. Shankari Mishra

For the OL : Ms. Hemlata Rawat, Mr. Aayushmaan Vatsyayana

ORDER

PER: DR. BINOD KUMAR SINHA, HON'BLE MEMBER (TECHNICAL)

1. The present Joint Petition is filed by the Petitioner Companies herein **Abhisar Buildwell Private Limited** (Transferor Company/Petitioner No.1) and **Dharampal Satyapal Limited** (Transferee Company/Petitioner No. 2) under Section 230-232 of the Companies Act, 2013 read with Rule 15 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, and the National Company Law Tribunal Rules, 2016, for the purpose of the Sanction of the proposed Scheme of Amalgamation between the Transferor Company and the Transferee Company. The copy of the Scheme of Amalgamation (hereinafter referred to as the "Scheme"), has been placed on record.
2. The Transferor Company/Petitioner No. 1 i.e., M/s Abhisar Buildwell Private Limited is a private limited company incorporated on 27.02.2006 under the provisions of the Companies Act, 1956 vide CIN: U70101DL2006PTC146854, having its registered office at 98, Okhla Industrial Estate Phase-III, New Delhi-110020. Thus, the registered office of the Transferor Company is under the jurisdiction of this Tribunal. The Authorized Share Capital of the Transferor Company is Rs. 75,00,00,000/- divided into 7,50,00,000 equity shares of Rs. 10/- each. The issued and subscribed and paid-up share capital of the Transferor Company is Rs. 67,60,97,280/- divided into 6,76,09,728 equity shares of Rs. 10/- each. The Petitioner No.1 is engaged in the business of manufacturing and sale of heat resistance rubber latex thread.

3. The Transferee Company/ Petitioner Company No. 2 i.e., M/s Dharampal Satyapal Limited is a private limited company incorporated on 11.12.1989 under the provisions of the Companies Act, 1956 vide CIN: U52110DL1989PLC038613, having its registered office at 98, Okhla Industrial Estate Phase-III, New Delhi-110020. Thus, the registered office of the Transferee Company is under the jurisdiction of this Tribunal. The Authorised Share Capital of the Transferee Company/ Petitioner Company No. 2 is Rs. 121,00,00,000/- divided into 10,90,00,000 Class-A equity shares of Rs. 10/- each and 80,00,000 Class-B equity shares of Rs. 10/- each and 40,00,000 10% redeemable cumulative preference shares of Rs. 10/- each. The present issued, subscribed and paid-up capital of the Transferee Company is Rs. 27,70,97,520 divided into 2,15,14,309 Class-A equity shares of Rs. 10/- each and 61,95,443 Class-B equity shares of Rs. 10/- each. The Petitioner No.2 is engaged in the business of manufacturing, production, sale and distribution of pan masala, gold and silver foil items and dairy related products.
4. The Petitioner Companies submit that the proposed scheme of amalgamation of the Transferor Company and Transferee Company would have the following benefits: -
   (i) The amalgamation would result in availability of financial resources to effectively revive and operate the business of the Transferor Company and will also help in business diversification and expansion prospects.
   (ii) The amalgamation would result in significant reduction in multiplicity of legal and regulatory compliances, multiple record-keeping and cost saving by way of reduction of financial costs, overheads, administrative, managerial and other expenditure.
   (iii) The amalgamation would result in improved competitive position of the Transferee Company as a combined entity and achieving economies of scale.
   (iv) Structured, sharper and better management focusing on holistic growth of the businesses could be achieved by the proposed amalgamation.

(v) The amalgamation would result in improved competitive position of the Transferee Company as a combined entity and achieving economies of scale. Further, such consolidated entity shall provide pathway to future financing and/or funding options.

(vi) Further, there is no adverse effect of this Scheme on the directors, key management personnel, promoters, non-promoter members, creditors and employees of the Companies and the same would be in the best interest of all stakeholders.

5. The appointed date as fixed for the proposed scheme of Amalgamation is 01.04.2021 or such other date as may be directed by this Tribunal.
6. The Petitioner Companies submits that the Petitioner No.1 is the wholly owned subsidiary of the Petitioner No.2, therefore, there will be no issue and allotment of shares as consideration by the Petitioner No.2 Company to the shareholders of the Petitioner No.1, upon coming into effect of the scheme.
7. The Petitioner companies further submits that the Petitioner No.2 was also undertaking the heat resistance rubber latex thread business, however, in the year 2006, it was decided to carve out the rubber latex thread business into a separate legal entity with an endeavour to explore independent business opportunities. The rubber latex thread business of Petitioner No.2 was demerged in the Petitioner No.1.
8. From the records, it is seen that the First Motion joint application was filed before this Tribunal vide CA(CAA) 28/ND/2022. Vide order dated 11.05.2022 passed by this Tribunal, the meetings of the Equity Shareholders, Secured Creditors and Unsecured Creditors of the Transferor Company were dispensed with. In addition to that, with respect to the Transferee Company, the meetings of the Equity shareholders and the Secured Creditors were dispensed with. The meeting of the Unsecured Creditors of the Transferee Company was directed to be held through Video Conferencing/Other Audio Visuals Means. The chairperson filed its report dated 05.07.2022, wherein, it was stated that the meeting of the Unsecured

creditors of the Transferee Company was held on 25.06.2022 at 12:00 Noon (IST) through Video Conferencing (VC)/Other Audio-Visual Means (OAVM) and the scheme was unanimously approved by the Unsecured Creditors of the Transferee Company. The same is taken on record by this Tribunal vide order dated 20.07.2022.

9. This Tribunal vide order dated 29.08.2022, directed the petitioner company to issue individual notices to the (i) Regional Director, Northern Region of Ministry of Corporate Affairs, (ii) Income Tax Department, (iii) Registrar of Companies, NCT of Delhi and Haryana, and (iv) Official Liquidator.

10. The Petitioner Companies were also directed to carry out publication in the newspapers. It is seen from the records that the petitioners have filed an Affidavit dated 19.09.2022, affirming compliance and disclosing that the applicants have effected publication in "Financial Express" (English, Delhi Edition) as well as "Jansatta" (Hindi, Delhi edition), both dated on 15.09.2022. In addition to the public notice, notices were served on the Regional Director (Northern Region), Official Liquidator, the Income Tax Department, Registrar of Companies, NCT of Delhi and Haryana, the Reserve Bank of India and to the other relevant sectoral regulators.

11. Pursuant to the notice issued to the Regional Director and Official Liquidator, they have filed their response/reply in the matter.

12. The Regional Director (RD) in its report dated 14.11.2022 has made certain observations with regard to the proposed scheme of Amalgamation among the Petitioner Companies. The Petitioner Companies had filed their reply affidavits dated 24.11.2022 in response to the observations made by the Regional Director, under wherein the Petitioner Companies gave clarification and undertaking to address the observations made by the Regional Director. The details of the same are summarised below:

Observation of the Regional Director vide report dated 14.11.2022	**Reply of the Petitioner Companies vide Affidavit dated 24.11.2022**
1. As per the Audited financial statements of the Transferor Company for the F.Y. 2020-21, seen that the company has made	(i) It is hereby humbly submitted that during the Financial Year 2020-21, transferor Company under note No. 8 of its financial statements for the year ended March 31,2021 had disclosed a consolidated sum towards 'Allowance for bad &

provision of bad & doubt allowances against the Trade receivables amounting to Rs. 79,86,826/-. Hence, the views of the Income Tax Department in respect of compliance Section 36 of the Income Tax Act, 1961 may be sought.

doubtful debts' aggregating to Rs. 79,86,826/- (Rupees Seventy-Nine Lakh Eighty-Six Thousand Eight Hundred and Twenty-Six only) against trade receivable of Rs. 5,24,24,482 /- (Rupees Five Crore Twenty-Four Lakhs Twenty-Four Thousand Four Hundred and Eighty-Two only). For the sake of convenience, details of the same are reproduced hereinbelow:

Particulars	As at March 31, 2021 (Amount in Rs)	As at March 31, 2020 (Amount in Rs)
Exceeding 6 months from payment due date		
- Unsecured considered good	-	26,99,336
- Doubtful	79,81,925	52,82,530
Less than 6 months from payment due date		
- Unsecured considered good	5,24,29,383	3,54,82,495
Less: Allowance for bad and doubtful debts	(79,86,826)	(68,31,320)
	5,24,24,482	**3,66,33,041**

(ii) The aforesaid sum of Rs. 79,86,826/- (Rupees Seventy-Nine Lakh Eighty-Six Thousand Eight hundred and Twenty-Six only) is a consolidated balance of bad & doubtful debts created over various year(s) by way of corresponding debit to the statement of profit and loss account for various year. The year-wise breakup of aforesaid is as under:

Financial Year	Amount (in Rs.)
2020-21	11,55,506
2019-20	15,97,961
2016-17	-4,01,817
2015-16	41,37,294
2013-14	8,28,037
2010-11	6,00,000
2009-10	69,845
Total	**79,86,826**

(iii) The provision relating to deductible expenses on account of any bad debt written off as not recoverable are specified under Section 36(vii) of the Income tax Act, 1961 (**"IT Act"**). According to the said provision, any amount of bad debt or part thereof which is written off as irrecoverable in the accounts of the assessee shall, subject to the provisions of Section 36(2) of IT Act, be allowed for deduction while computing the income of assessee under Section 28 of IT Act. For the sake of ready reference, relevant extracts of Section 36 of IT Act is reproduced hereinbelow:

"Section 36. Other deductions

	(1) The deductions provided for in the following clauses shall be allowed in respect of the matters dealt with therein, in computing the income referred to in Section 28- *… … … … … … ….* *(vii) Subject to the provisions of sub-section (2), the amount of any bad debt or part thereof which is written off as irrecoverable in the accounts of the assessee for the previous year."* (iv) In terms of the aforesaid provision, bad debt is allowable only in the year of actual write-off subject to such other conditions as prescribed in the said section. (v) In the facts of the present case, since the aforesaid sum of Rs. 79,86,826/- (Rupees Seventy-Nine Lakh Eighty-Six Thousand Eight hundred and Twenty-Six only) is merely a provision for doubtful debt, the same is not allowable as deduction while computing business income. Accordingly, the Transferor Company has suo-moto disallowed the said provisions in the respective year(s) in which the provision is debited to the profit and loss account. Further, no adverse inference has been drawn by the Revenue in this regard till date. (vi) On sample basis, copy of computation and income tax return for Assessment Year 2021-22 is placed on record which shows that sum of Rs. 11,55,506/- (Rupees Eleven Lakhs Fifty-Five Thousand Five Hundred and Six only) is suo-moto disallowed by the assessee company while computing total income. (vii) The aforesaid makes it clear that the Transferor Company has duly complied with the provisions of Section 36(1)(vii) of the IT Act; there is no violation of the said provision.
2. As per the Audited financial statements of the Transferor Company and the Transferee Company for the F.Y. 2020-21, auditor had stated that the company has not paid the statutory dues on account of disputes and for the same cases are pending before the respective authority.	(i) It is hereby humbly submitted that as per clause (c) of para (vii) of Annexure- A to Independent auditor's Report of the Transferor Company for the financial year ended March 31,2021, following are the disputed statutory dues which have not been deposited with the relevant authorities:

Particulars	Amount (in Lakhs)	Forum
Excise Duty (F.Y. 2008-09 to 2014-15)	Rs. 1044.25 lakhs (Previous year Rs. 1044.25 lakhs)	Supreme Court
Excise Duty (Year 2009-2010 to 2012-13)	Demand Rs. 43.60 lakhs & Penalty Rs. 0.15 lakhs (Previous Year: Demand Rs. 43.60 lakhs & Penalty Rs. 0.15 lakhs)	Cestat
Excise Duty (August 2012 to July 2013)	Demand Rs. 15.40 lakhs & Penalty Rs. 15.40 lakhs (Previous Year: Demand Rs. 15.40 lakhs & Penalty Rs. 15.40 lakhs)	Cestat
Sales Tax		
(Year 2008-09)	Rs. 1151.47 lakhs (Previous Year: Rs. 1151.47 lakhs)	High Court
2013-14		Assistant Commissioner of Taxes
(2007-08 to 2012-13)		Superintendent of Agartala

For the sake of ready reference, a copy of Independent Auditor's report on the standalone financial statements of the Transferor Company for the financial year ended March 31,2021.

(ii) That as per clause 11 of the Scheme, upon the Scheme becoming effective, all suits, actions and other proceedings including legal, direct and indirect taxation proceedings before any statutory or quasi-judicial authority or tribunal or any court or arbitral body, if any, by or against the Transferor Company pending and/or arising on or before the effective date shall be continued and/or be enforced be or against the Transferee Company as effectually and in the same manner as if the same has been instituted and/or pending and/or arising by or against the Transferee Company. For the sake of ready reference, relevant extracts of clause 11 of the Scheme are reproduced hereinbelow:

"11. Legal Proceedings

11.1 Upon coming into effect of this Scheme, all suits, actions and other proceedings including legal, direct and

indirect taxation proceedings (before any statutory or quasi-judicial authority or tribunal or any court or arbitral body), if any, by or against the Transferor Company pending and/or arising on or before the Effective Date shall be continued and/or be enforced by or against the Transferee Company as effectually and in the same manner and extent as if the same has been instituted and/or pending and/or arising by or against the Transferee Company.

11.2 It is expressly specified that the Transferee Company undertakes to have all legal or other proceedings initiated by or against the Transferor Company as referred above, be transferred to its name and shall have the same continued, prosecuted and enforced in its name."

Accordingly, all the existing disputed suits and other proceedings of whatsoever nature will stand transferred to the Transferee Company pursuant to the Scheme becoming effective as if they were originally initiated/ contested against the Transferee Company.

(iii) Further, as per clause (b) of para (vii) of Annexure-A to Independent Auditors' Report of the Transferee Company for the financial year ended March 31, 2021, following are the particulars of dues on account of Income Tax, Sales Tax, Goods and Service Tax & Excise Duty which have not been deposited on account of any dispute:

S. No.	Name of the Statue	Nature of Dues	Period to which amount relates	Amount* (In INR Lakhs)	Forum where dispute is pending
1	Central Excise Act, 1944	Excise Duty	2001-2003	3,192.63	Supreme Court
			2003-2014	24,600.62	CESTAT Kolkata
			2011-2012	8,159.10	High Court Guwahati
			2009-2012	26,284.08	High Court Allahabad
			2006-2007	780.34	High Court Agartala

			2011-2014	15.24	Commissioner (Appeal) Agartala
			2000-2019	39.54	CESTAT Chandigarh
2	Central Sales Tax Act & Sales Tax Act of various States	Sales Tax	2011-2015	438.89	Commercial Taxes Tribunal, Noida Bench
			2015-16	3,210.59	Addl. Commissioner (Appeal), Commissioner Taxes, Noida
			2013-2016	1,282.34	Appeal Authority DVAT Delhi
			2006-2013	874.76	Revision Board Commercial Tax, Kolkata
			2002-2014	11.15	Tribunal, Patna
			2013-2016	20.22	Deputy Commissioner Commercial Tax, Indore
			2015-2016	12.05	Joint Commissioner State Tax, Uttarakhand
			2014-2016	413.81	Guwahati High Court, Assam
3	Income Tax Act	Income Tax	2009-2014	3862.42	CIT Appeals, Delhi
4	Goods & Services Tax Act	GST	2019-20	3.92	Joint Commissioner, Halwani
			2019-20	3.63	Additional Commissioner, Noida

	For the sake of ready reference, a copy of Independent Auditor's Report on the standalone financial statements of the Transferee Company for the financial year ended March 31, 2021 is attached herewith. (iv) It is hereby submitted that, upon the Scheme becoming effective, the Transferee Company shall be the surviving entity and accordingly, all suits, actions and other proceedings including but not limited to legal and taxation proceedings pending before any statutory or quasi-judicial authority or tribunal or any court or arbitral body, by or against the Transferee Company shall not be affected and be continued in the same manner as they were originally being dealt with.
3. In the rationale for the scheme, it has been stated that the Transferor Company has been facing losses, which lead to its liquidation. However, the Transferor Company during the F.Y. 2020-21 has revenue from operation of Rs. 57,42,50,580/- and total profit of Rs. 15,08,46,728/- during the year. Therefore, the rationale of the scheme does not appear to be true.	(i) It is hereby humbly submitted that joint first motion application along with supplementary accounting statement for the period April 01, 2021 to December 31, 2021 and other requisite annexures thereto in relation to the Scheme was duly filed by the Petitioner Companies before the Hon'ble National Company Law Tribunal, Bench at New Delhi on March 22, 2022 vide diary No. 0710102/02221/2022. A copy of acknowledgement receipt of filing said joint application is attached herewith. (ii) It is hereby submitted that during the financial year 2020-21, the Transferor Company has reported revenue from operations amounting to Rs. 57,42,50,580/- (Rupees Fifty-Seven Crore Forty-Two Lakhs Fifty Thousand Five Hundred and Eighty only) with a total profit of Rs. 15,08,46,728/- (Rupees Fifteen Crore Eight Lakh Forty-Six Thousand Seven Hundred and Twenty-Eight only). (iii) It is further submitted that in the financial year 2021-22, the Transferor Company, on account of creating provision for excise duty and sales tax, has reported a loss of Rs. 14,79,85,974/- (Rupees Fourteen Crore Seventy-Nine Lakhs Eighty-Five Thousand Nine Hundred and Seventy-Four only) in its books of accounts. A copy of financial statement of the Transferor Company for the financial year ended March 31, 2022 is attached herewith. It is pertinent to mention that rationale of the Scheme was deliberated on the basis of projected balance sheet drawn up to the date of board meeting in which the Scheme was approved by the board of directors of respective Petitioner Companies. Considering the fact that the Transferor Company is engaged in the business of manufacturing and sale of heat resistance rubber latex thread which has been severely impacted due to continuous shut down of retail and wholesale markets on account of extraordinary situation created due to COVID-19 across the Country, as a result

	of which the Transferor Company was experiencing several financial constraints. It is reiterated that, due to downfall in retail and wholesale markets and owing to creation of provision for excise duty and sales tax, the Transferor Company has incurred a loss of Rs. 14,79,85,9741- (Rupees Fourteen Crore Seventy-Nine Lakhs Eighty-Five Thousand Nine Hundred and Seventy-Four only) as reported in its audited financial statements for the financial year ended March 31, 2022. Further, management of the Transferor Company was of the view that this situation will continue in future as well and it will not be possible for Transferor Company to utilize its strength on an independent basis neither operationally nor financially and administratively. Considering the fact that many of the farmers and the farmer community in and around the operations of the Transferor Company are dependent upon the continuous business of the Transferor Company and accordingly, any stoppage of business operations of the Transferor Company would create a very detrimental societal impact and livelihood of thousands of farmers involved in the operations of the Transferor Company, thereby proposed to merge the Transferor Company with and into the Transferee Company being its parent company so that the Transferee Company, post amalgamation can use its existent substantial distribution network, manpower, financial and economic strength of the Transferor Company in a more organized manner thereby conserving growth potential, market capitalization and ensuring that the farmers associated with the business of the Transferor Company are not affected. (iv) In this respect, it is hereby submitted that a copy of provisional financial statements of the Transferor Company for the period April 01, 2021 to March 31, 2022 was filed with the Hon'ble Tribunal along with Company Petition and was also duly served upon the venerate office of Registrar of Companies and Regional Director, however, the said authorities miscarries to capture the same in their respective reports and has blatantly relied upon the audited financial statements for the year ended March 31, 2021 which was duly filed with the Hon'ble Tribunal along with joint first motion application.
4. The Transferee Company may kindly be directed to comply with the provisions of section 232(3)(i) of the Act regarding fees payable of its revised Authorized Share Capital.	(i) It is hereby respectfully submitted that in terms of clause 19 of Part C of the Scheme, upon the Scheme coming into effect and with effect from the appointed date, the authorized share capital of the Transferor company as on the effective date shall stand transferred to and be added with the authorized share capital of the Transferee Company. For the sake of brevity, relevant extracts of

	clause 19 of Part C of the Scheme is reproduced hereinbelow: ***"Part C: Consideration for Amalgamation and Clubbing of Authorised Share Capital-*** ***19. Clubbing of Authorised Share Capital*** *19.1 Upon the Scheme coming into effect and with effect from the Appointed Date, the authorized share capital of the Transferor Company as on the Effective Date shall stand transferred to and be added with the authorized share capital of the Transferee Company. The Transferee Company shall file necessary application with the ROC along with the Scheme as sanctioned by the Tribunal, indicating the revised authorized share capital and pay the prescribed fee due on such increase in authorized share capital after claiming set off of fee already paid by the Transferor Company on their authorized share capital as per Section 232(3)(i) of the Act. It is further clarified that the Transferee Company shall not be required to pay any other additional fees (including fee payable to ROC except as may be required as per the applicable provisions of the Act) or stamp duty or any other charges under any Applicable Law(s) for time being in force.* *19.2 Consequent to transfer of the existing authorized share capital of the Transferor Company on the Effective Date in accordance with the aforementioned, Clause V of the memorandum of association of the Transferee Company shall stand substituted to read to read as follows:* *"V The Authorized Share Capital of the Company is Rs. 196,00,00,000/- (Rupees One Hundred Ninety Six Crores only) divided into 18,40,00,000 (Eighteen Crores Forty Lacs) Class A Equity Shares of Rs. 10/- (Rupees Ten) each, Class A Equity Shares shall be the ordinary equity share with full dividend and full voting rights attached to ordinary equity shares, 80,00,000 (Eighty Lacs) Class B Equity Shares of Rs. 10/- (Rupees Ten) each with Differential Voting Rights, Class B Equity Shares shall have voting rights that are equivalent to 1/100th of that of Class A Equity Shares and will carry dividend which would be one percent (1%) higher of the dividend declared in respect of Class A Equity Shares and 40,00,000(Forty Lacs)10% redeemable cumulative preference shares of Rs. 10/- (Rupees Ten) each."* *19.3 It is hereby clarified that the consent of shareholders of the Transferee Company to the Scheme shall be sufficient for purposes of effecting the amendment in the memorandum of association and articles of association of*

	the Transferee Company and that no further resolution under Sections 13, 14 and 61 of the Act and any other applicable provisions of the Act would be required to be separately passed, nor any additional registration fee etc. be payable by the Transferee Company. However, the Transferee Company shall file the amended copy of its memorandum of association and articles of association with the RoC within a period of 30 (Thirty) days from Effective Date and the RoC shall take the same on record." Further, the Transferee Company do hereby undertake that it shall comply with the provisions of section 232(3)(i) of 2013 Act and shall pay requisite fees, as applicable, on the revised authorized share capital after claiming set-off of the fee already paid by the Transferor Company on its authorised share capital. For the sake of ready reference, a copy of report issued by Ld. Regional Director is attached herewith.

13. On a perusal of the scheme, this Tribunal observe that the Clause 11 of the scheme of Amalgamation provides that upon the Scheme becoming effective, all suits, actions and other proceedings including legal, direct and indirect taxation proceedings before any statutory or quasi-judicial authority or tribunal or any court or arbitral body, if any, by or against the Transferor Company pending and/or arising on or before the effective date shall be continued and/or be enforced be or against the Transferee Company as effectually and in the same manner as if the same has been instituted and/or pending and/or arising by or against the Transferee Company. Accordingly, it is directed that all the existing disputed suits and other proceedings of whatsoever nature pending against the Petitioner No.1/Transferor Company shall stand transferred to the Transferee Company/Petitioner No.2 pursuant to the Scheme as if they were originally initiated/ contested against the Transferee Company.

14. The Official Liquidator has filed its report dated 14.10.2022, wherein no specific objection has been raised against the approval of the Scheme. It is submitted in the report that the affairs of the transferor company do not appear to have been conducted in a manner prejudicial to the interest of its members or to public interest.

15. The Income Tax Department has not submitted its report as to the said scheme of amalgamation between the petitioner companies. This Tribunal, vide order dated 29.11.2022 provided the Income Tax Department with the last opportunity to appear and file the reply, failing which the matter will be proceeded further. It is pertinent to mention that despite being provided with the last opportunity, the Income Tax Department has not appeared or filed its report. Hence, we presume that the said Department has no objection to the proposed scheme of amalgamation.
16. The petitioner companies have filed the affidavit-cum-undertaking dated 25.01.2023, in compliance of the order dated 17.01.2023, and have undertaken to pay outstanding tax liability, as and when payable as per law.
17. The Regional Director (RD) in its report dated 14.11.2022 had made certain observations with regard to the proposed scheme of amalgamation among the petitioner companies and raised certain objections. However, after the reply and undertakings filed by the petitioner companies, the RD had raised no further objections in the matter as recorded by this Tribunal vide order dated 29.11.2022.
18. In this petition it has also been affirmed that there is no pending complaint against the scheme and no proceeding for inspection, inquiry or investigation under the provisions of the Companies Act, 2013 or under provisions of Companies Act, 1956 is pending against the Petitioner Companies.
19. Certificates of Statutory auditor of the petitioner companies, has been placed on record to the effect that Accounting Treatment proposed in the Scheme of Amalgamation is in conformity with the Accounting Standard notified by the Central Government as specified under the provisions of Section 133 of the Companies Act, 2013 read with Rule 7 of the Companies Accounts Rules, 2014 and Companies (Accounting Standards) Amendment Rules, 2016, and other generally accepted accounting principles in accordance with the Companies Act, 2013, as applicable.
20. The shareholders of the petitioner companies are the best judges of their interest, being fully conversant with market trends, and therefore, their

decision should not be interfered with by the Tribunal for the reason that it is not a part of the judicial function to examine entrepreneurial activities and their commercial decisions. It is well settled that the Tribunal evaluating the Scheme, of which sanction is sought under Section 230-232 of the Companies Act of 2013, will not ordinarily interfere with the corporate decisions of companies as approved by shareholders and creditors.

21. It has also been affirmed in the petition that the Scheme is in the interest of both the Petitioner Companies including their shareholders, creditors, employees and all concerned. In view of the foregoing, upon considering the approval accorded by the members and creditors of the Petitioner companies to the proposed Scheme, there appears to be no impediment in sanctioning the present Scheme.

22. Consequently, sanction is hereby granted to the Scheme under Section 230 to 232 of the Companies Act, 2013 with the following directions: -

    (i) The Petitioners shall however remain bound to comply with the statutory requirements in accordance with the law.

    (ii) Notwithstanding the above, if there is any deficiency found or, violation committed, qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken in accordance with the law, against the concerned persons, directors and officials of the petitioners.

    (iii) While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

23. It is further clarified that the present order of sanctioning the scheme of amalgamation will not give any immunity for the past deeds of the Petitioner No.1 or their directors or officers and hence, the proceedings that are initiated or may be initiated under the provision of this Act or any other law

against the Petitioner No.1 or Petitioner No.2 would not be affected by the present order of sanctioning the Scheme of Amalgamation.

24. This Tribunal further directs with respect to the Transferor Company and the Transferee Company, that:

(i) The proposed scheme has 01.04.2021 as the Appointed Date or such other date as may be directed by this Tribunal. Keeping in view the fact that Accounts would have been drawn for subsequent years, we prescribe 01.04.2022 as the Appointed Date for the said scheme of Amalgamation.

(ii) Upon the sanction becoming effective from the appointed date i.e., 01.04.2022 as prescribed by this Tribunal, the Transferor Company shall stand dissolved without undergoing the process of winding up.

(iii) All contracts of the Transferor Company, which are subsisting or having effect immediately before the Effective Date, shall stand transferred to and vested in the Transferee Company and be in full force and effect in favor of the Transferee Company and may be enforced by or against it as fully and effectually as if, instead of the Transferor Company, the Transferee Company had been a party or beneficiary or obliged thereto;

(iv) All the employees of the Transferor Company shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to the Transferee Company without any interruption of service and on the terms and conditions no less favorable than those on which they are engaged by the Transferor Company, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

(v) All liabilities of the Transferor Company, shall, pursuant to the provisions of section 232(4) and other applicable provisions of the Companies Act, 2013, to the extent they are outstanding as on the

Effective Date, without any further act, instrument or deed stand transferred to and be deemed to be the debts, liabilities, contingent liabilities, duties and obligations etc. as the case may be, of the Transferee Company and shall be exercised by or against the Transferee Company, as if it had incurred such liabilities.

(vi) All proceedings now pending by or against the Transferor Company be continued by or against the Transferee Company.

(vii) Any person interested or effected shall be at liberty to apply to this Tribunal in the above matter for any directions that may be necessary.

25. Further, the Petitioner Company shall within thirty days of the date of the receipt of this order, cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Transferor Company shall be dissolved and the Registrar of Companies shall place all documents relating to the Transferor Company on the file kept by him in relation to the Transferee Company and the files relating to all the Petitioner Companies shall be consolidated accordingly.

26. In compliance with the requirement of Section 232 (7) of the Act, the Transferee Company shall until the full implementation of the Scheme of Amalgamation shall file a statement every year in the Form CAA 8 along with the required fees with the Registrar of Companies as prescribed in the Companies (Registration offices and fees) Rules 2014 within 210 days from the end of each financial year.

27. The petition stands disposed of in the above terms.

Let copy of the order be served to the parties.

Sd/-
(DR. BINOD KUMAR SINHA)
MEMBER (TECHNICAL)

Sd/-
(P.S.N. PRASAD)
MEMBER (JUDICIAL)